UC Berkeley Economics

Sharath Sonti

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Placement Chair

Professor Ben Handel
Department of Economics
University of California, Berkeley
handel@berkeley.edu
510-643-0708

Graduate Placement Office

Department of Economics
University of California, Berkeley
gradofc-econ@berkeley.edu

Doctoral Studies

University of California, Berkeley 2021-present
PhD Candidate, Economics
Fields: Macroeconomics, monetary economics, expectations, behavioral macroeconomics

References

Professor Yuriy Gorodnichenko	Professor Jon Steinsson	Professor Chen Lian
Department of Economics	Department of Economics	Department of Economics
UC Berkeley	UC Berkeley	UC Berkeley
ygorodni@econ.berkeley.edu	jsteinsson@berkeley.edu	chen_lian@berkeley.edu

Prior Education

CEMFI, Master in Economics and Finance, GPA: 89.5/100 2019-2021
Thesis: "Trade Shocks and Capital Downgrading: Evidence from China's Trade with India."

Shiv Nadar University, B.Sc. Economics (Research), Minor in Mathematics, 2015-2019
GPA: 9.66/10

Working Papers

Reference Dependent Utility over Prices and the Welfare Costs of Inflation (Job Market Paper)

Survey evidence documents anger and perceived unfairness among consumers facing rising prices. I study a mechanism through which these reactions can generate welfare losses by embedding reference-dependent demand in a New Keynesian model. When posted prices exceed reference prices formed from past purchases, the same physical consumption bundle delivers less utility. This generates a first-order welfare cost of inflation absent from standard models. I calibrate the parameters governing these losses using an online survey of 1,323 U.S. consumers, with hypothetical shopping scenarios that vary reference prices while holding posted prices fixed. For cost-push shocks scaled to generate peak quarterly inflation of 1% in both models, welfare losses with reference dependence are three to five times as large as in the standard New Keynesian model. To quantify this cost during the recent inflation surge, I build a heterogeneous-agent model with reference dependence in frequently purchased goods and household expenditure shares on these goods that vary with income. Calibrated to match U.S. macroeconomic dynamics during 2021-2023, the model implies an average household welfare loss of 4.6% of one year's consumption, with reference dependence accounting for 17% of the total.

Overconfident Forecasters and the Impact of Inflation Information: Evidence from a Randomized Survey Experiment (with Filippo Natoli)

Presented at: Midwest Macro Meetings, Summer 2026; North American Summer Meeting of the Econometric Society (NASMES), 2026.

We exploit a randomized information intervention in a quarterly survey of Italian firms to study how access to recent inflation data affects deviations from the full-information rational expectations (FIRE) benchmark in managers' inflation forecasts. Treated firms receive the latest inflation reading before submitting their forecasts and, relative to non-treated firms, display *less underreaction* at the consensus level and *less overreaction* at the individual level, moving forecasts closer to the FIRE benchmark. A model that combines noisy information with *overconfidence in private information* provides the best overall fit to the data, outperforming alternative frameworks featuring diagnostic expectations, internal cognitive constraints, or over-extrapolation. Intuitively, with noisy information, average forecasts react sluggishly to news, so an informative public signal speeds up aggregate updating and reduces consensus underreaction. With overconfidence, managers overweight private signals and the public signal shifts weight away from private information, attenuating individual overreaction. Embedding the estimated forecast moments in an incomplete-information Phillips-curve framework, we find that a common-information counterfactual with the signal precision implied by the experiment moves the Phillips curve roughly a quarter of the way back toward its full-information benchmark and raises the impact response of inflation to a cost-push shock by about 25%.

Local Housing Market Experiences and Homeownership Decisions (with Gene Woo Kang and Junru Lyu)

How do lived housing-market experiences shape the decision to become a homeowner? We develop a dynamic life-cycle model in which households form beliefs about both the mean and variance of future housing returns through experience-based learning, and derive predictions: higher experienced returns encourage ownership while higher experienced volatility discourages it, with both effects attenuating over the life cycle. We test these predictions using the University of California Consumer Credit Panel, which tracks individual residence at the zip-code level and allows us to construct person-specific histories of local nominal house-price returns and volatility since age 18. A 1 percentage point increase in experienced returns raises the quarterly homeownership transition probability by 7% relative to the sample mean; a 1 p.p. increase in experienced volatility lowers it by 10%. Effects are robust to extensive controls and fixed effects, attenuate with age as the model predicts, and also predict leverage at mortgage origination.

Research in Progress

Divided Views, Clearer Signals: FOMC Disagreement and Monetary Policy Uncertainty
(with Patrik Räty)

We document that changes in disagreement amongst the members of the Federal Open Market Committee (FOMC), as measured by dispersion in the dot plots, are negatively associated with changes in market-based monetary policy uncertainty around FOMC meetings. Our preferred explanation for this negative relationship comes from a Bayesian learning model in which the market learns about the committee balance of power between hawks and doves by observing the interest rate decision and the dot plot. The model has two countervailing forces: (1) more disagreement makes the learning process stronger, as when the views of hawks and doves are further apart the current rate decision better reveals whose views shape policy, decreasing monetary policy uncertainty, and (2) more disagreement, particularly when highly persistent, makes the future range of policy actions wider, increasing monetary policy uncertainty. Finally, we use heteroskedasticity-based identification exploiting variation in the Federal Reserve's communication strategy with the introduction of the dot plot to explore the effect of monetary policy uncertainty shocks. Our monetary policy uncertainty shocks load negatively on dot plot disagreement, depress investment consistent with a real-options channel, and do not seem to affect credit spreads.

Research Assistant Experience

UC Berkeley Summers 2022-2023
Research Assistant at Macro Policy Lab, with Jon Steinsson and Emi Nakamura

- Replicated results from Bordalo, Gennaioli, Ma, and Shleifer (2020) and ran forecaster-level regressions to study forecast bias, autocorrelation of forecast errors, and Mincer-Zarnowitz relationships.
- Worked with the model in "Learning about the Long Run" by Leland Farmer, Jon Steinsson, and Emi Nakamura, running Monte Carlo experiments under alternative hyperparameter choices to generate forecasts consistent with rational expectations.
- Compared forecast performance by mean squared error both in the data and in model-generated data under different prior specifications.

UC Berkeley Summer-Fall 2024
Research Assistant to Yuriy Gorodnichenko

- Worked with proprietary survey data to analyze household macroeconomic expectations and expectations about own expenditures.
- Analyzed detailed household scanner purchases in the Nielsen Consumer Panel Dataset across narrowly defined spending categories.
- Linked survey and scanner data to study how well consumers predict future spending and how that relates to expectations about macroeconomic variables.

CEMFI Summer 2020
Research Assistant to Josep Pijoan-Mas

- Worked with Bank of Spain input-output tables spanning 1962-2015.
- Reviewed the literature on sectoral linkages, constructed an artificial tourism sector from disaggregated data, and documented trends in value-added shares and imported and domestic intermediate-input use.

Teaching Experience

ECON 202A, Macroeconomics I, UC Berkeley Fall 2022, 2023, 2024, 2025
Graduate Student Instructor for Jon Steinsson
Topics included endogenous growth, human capital accumulation, and firm investment.

ECON 202B, Macroeconomics II, UC Berkeley Spring 2023, 2024
Graduate Student Instructor for Benjamin Schoefer
Topics included labor-market dynamics over the business cycle, with special emphasis on search and matching frictions.

ECON 202B, Macroeconomics II, UC Berkeley Spring 2025, 2026
Graduate Student Instructor for Yuriy Gorodnichenko
Topics included real business cycle theory and monetary economics.

Honors and Grants

Doctoral Research Grant in Monetary Economics, BB90 Fund	2025
Outstanding Graduate Student Instructor Award, Department of Economics, UC Berkeley	2024
Seed Grant from the University of California Consumer Credit Panel (UC-CCP)	2024
NBER Behavioral Macroeconomics Boot Camp participant	2024
Princeton Initiative: Money, Macro and Finance Workshop participant	2023
Graduated from CEMFI with highest distinction	2021
Graduated from Shiv Nadar University with highest distinction	2019
Dean's List, Shiv Nadar University	2017, 2018
Tuition fee waiver, Shiv Nadar University	2015-2019

Skills and Languages

Computer Skills
MATLAB, R, Stata, LaTeX, Python, Microsoft Office

Languages
English, Hindi, Telugu